REC Ltd (RECLTD)

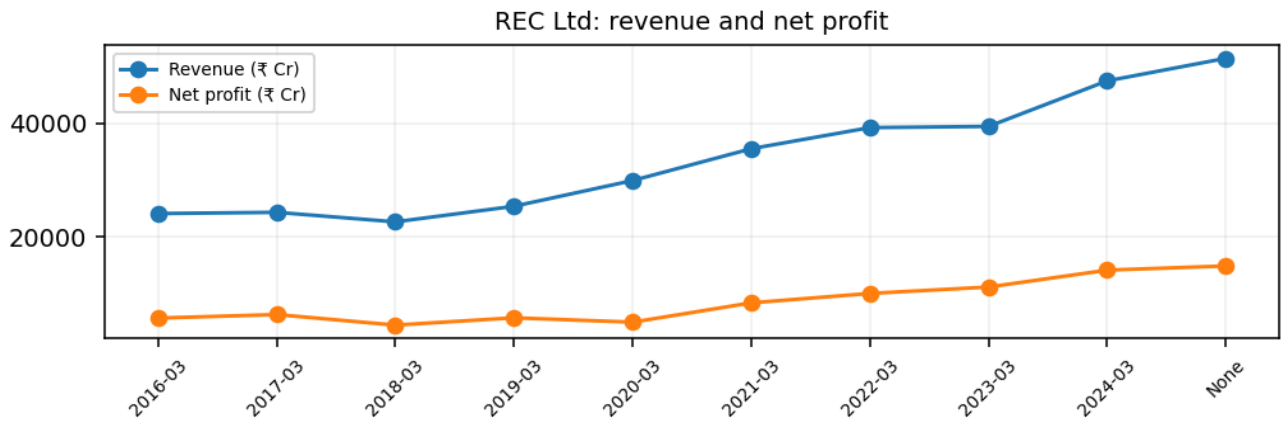
Sector: Financials | Financial year: 2024-03 | Market snapshot: 2024-03

Investment profile — data-led summary

REC is a Central Public Sector Undertaking under the Ministry of Power involved in financing projects in the complete power sector value chain from generation to distribution. [1]

Metric	Latest value	Metric	Latest value
ROE	20.40%	ROCE	9.29%
Debt/equity	6.42	Free cash flow (■ Cr)	-59,554.00
P/E	31.49	P/B	4.59
Market cap (■ Cr)	291,917.42	Dividend yield	2.18%

Revenue and earnings history (up to 10 supplied annual observations)



All figures reflect the supplied source dataset. This report is informational and is not a recommendation to buy or sell securities.

REC Ltd — Financial Quality & Risk Review

Strength indicators

Rule	Evidence	Confidence
Positive operating margin	The latest annual period reports a positive operating margin.	95%
ROE >= 15%	High return on equity indicates strong accounting returns on shareholder capital.	90%
PAT CAGR 5Y >= 10%	Profit has compounded at least 10% annually over five years in the available statement history.	90%
Revenue CAGR 5Y >= 10%	Revenue has compounded at least 10% annually over five years in the available statement history.	83%

Risk indicators

Rule	Evidence	Confidence
Negative free cash flow	The latest annual period reports negative free cash flow.	95%
FCF conversion < 0	Free-cash-flow conversion is negative in the latest annual ratio record.	95%
Debt/equity > 1	Debt exceeds equity on the reported debt/equity measure.	76%
High debt/equity > 2	Leverage is elevated, with debt exceeding twice equity.	76%

Selected annual financial history

Year	Sales (■ Cr)	Net profit (■ Cr)	EPS	OPM %
2019-03	25408	5741	22.00	93.00
2020-03	29942	4972	19.00	87.00
2021-03	35557	8378	32.00	91.00
2022-03	39276	10036	38.00	88.00
2023-03	39486	11167	42.00	95.00
2024-03	47517	14145	54.00	101.00
None	51490	14885	57.00	99.00